

up-to-date information on the tax code's latest twists and turns, you'll need to check the current rules when you fill out your tax return. The instructions for the tax forms as well as the free IRS publications available online are a great starting point.

↓ **WHY IS YOUR PAYCHECK SO SMALL?**

When you received your first paycheck, it became painfully clear that your before-tax salary was an illusion. Your take-home pay, or **net wages**, was much smaller, thanks to all those deductions: Social Security tax, Medicare tax, federal income tax, and maybe state and local income tax.

Your employer subtracts or “withholds” tax because the U.S. tax system uses a “pay-as-you-go” method, meaning we pay tax on the money we earn as we earn it rather than paying it all in a lump sum at the end of the year. If you’re a freelancer or self-employed, you’re responsible for making sure you pay the correct taxes each quarter (every three months). If you’re an employee, your employer withholds income tax from each paycheck based on salary and the information on the **Form W-4** that you filled out when you were hired. On a worksheet attached to the W-4, you answered some basic questions to help you calculate the number of **withholding allowances** you’re entitled to. A withholding allowance represents an estimate of the exemptions and deductions you are likely to be entitled to in the coming year. (You’ll learn all about exemptions and deductions later on.) The more withholding allowances you take, the less income tax your employer withholds from your paycheck; the fewer allowances you take, the more tax is withheld. The number of allowances you’re eligible for can depend on a variety of factors, including whether you’re single or married, whether you have kids, and whether you own a home.

↓ **THE TAXES YOU PAY**

Here’s a list of the major ones: